The persisting economic and military power of the US is attributable largely to the ongoing status of the US dollar as the most widely used reserve currency and international transaction currency in the world during the last 30 years. The internationally dominant status of the dollar, which many refer to as the 'dollar standard', allows the US to borrow internationally at low interest rates and print money to repay its debt as the last resort.

This capability to borrow in its own currency has been allowing the US to solve many of its domestic economic malaises and maintain the most enormous, active war machine in the world through external indebtedness, while avoiding the kind of debt crises that have wreaked havoc on many developing economies which borrowed in creditors' currency. Ironically, the persistence of the dollar standard is now being maintained by the rise of China as the biggest foreign holder of US-dollar-dominated assets, mainly in the form of US Treasury bonds.

The post-World War II global hegemonic role of the dollar was sealed in the Bretton Woods Conference of 1944, which established the gold convertibility of the dollar under the promised rate of US$35 for one ounce of gold. The stability of the resulting global monetary order in the 1950s and 1960s was warranted by America's sizeable gold reserve, current account surpluses, and its unparalleled competitiveness in the world economy.

The collapse of this Bretton Woods order in 1971 can be traced back to the rising productivity of Europe, West Germany in particular, and Japan, following their full recovery from the world war in the late 1960s. Increasing international competition, coupled with the rising wage demand of domestic organised labour and the escalating fiscal and current account deficits incurred by the US's troubled involvement in Vietnam, led to a run on the dollar and the outflow of gold reserves from the US. It left Nixon with few choices but to suspend the gold convertibility of the dollar in 1971, forcing other major capitalist economies to undo their currencies' peg from the dollar. The abolition of gold convertibility allowed the US to attempt reducing its current account deficit and reviving its economic competitiveness through dollar devaluation.

Upon the collapse of the Bretton Woods system, many predicted the end of dollar hegemony and the rise of a multipolar global economic order grounded on more or less even domination of multiple major currencies such as the yen and Deutschmark. What is puzzling is that this predicted multipolar moment never came, and the dollar hegemony continued for four more decades until today. Even with the formation of the euro as a competitor, the dollar remains the most widely used reserve currency in the world. The same can be said regarding the use of the dollar in international transactions.